

August 2, 2026 09:20 PM GMT

KIOXIA Holdings (285A) | Japan

Jun-Q Results: Miss, But Management Tone Remains Bullish

WHAT'S CHANGED

KIOXIA Holdings (285A.T) FY3/27e Non-GAAP OP	From ¥6.8trn	To ¥7.2trn
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AlphaSignals Earnings Reaction

Strengthens our thesis Impact to our thesis	↓ Modest shortfall Financial results versus consensus	— Largely unchanged Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

KIOXIA remains our Top Pick.

Jun-Q Non-GAAP results: GB shipments increased by a low single-digit QoQ, US\$ ASP rose 70% QoQ, revenue reached ¥1.8tn (+76% QoQ), and OP was ¥1.3tn. OP was below the market expectation of ¥1.4tn. The miss was driven by logistics constraints that delayed some shipments into Sep-Q, as well as an employee compensation provision that had not been included in the guidance.

Sep-Q guidance: KIOXIA forecasts revenue of ¥2.4tn (+35% QoQ) and OP of ¥1.9tn. The OP guidance is at the low end of market expectations of ¥1.9-2.2tn. We estimate the guidance implies ~10% QoQ growth in volume and more than 20% QoQ growth in ASPs. Its commentary on company's GB growth in CY26 changed from 3-months ago, when it expected to grow "at least in line with the market," to expecting growth "in line with the market", reflecting possibly supply constraints.

KIOXIA expects supply shortage in CY27: It stated that "AI inference/Agentic AI remains in the early stages of adoption," and highlighted growing demand for higher SSD content per inference server and SSDs with high random-access performance. Regarding a third-party forecast calling for NAND oversupply in CY27, the company questioned if the forecast adequately captures the incremental AI demand.

KIOXIA will conduct a share buyback of up to ¥800bn through Oct 30: CFO Kawamura described the significant share price decline as "an excellent opportunity to improve capital efficiency and enhance EPS."

Our take: The shares are likely to react negatively to the earnings miss. That said, the shortfall appears attributable to supply bottlenecks, suggesting that even a company with enough room for capacity expansion struggles to meet demand. We view this as a positive for industry S/D outlook. The buyback announcement reinforces our view that, even if the second derivative of pricing moderates, KIOXIA can generate robust earnings and FCF, much of which should be returned to shareholders. We believe the ¥800bn buyback represents only the first small step in what could become a much broader shareholders return (Exhibit 8).

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KIOXIA Holdings (285A.T, 285A JP)

Top Pick

Japan Semiconductors | Japan

Stock Rating	Overweight
Industry View	In-Line
Price target	¥110,000
Up/downside to price target (%)	137
Shr price, close (Jul 31, 2026)	¥46,500
Mkt cap, curr, basic (bn)	¥25,482.7
Div yld (03/27e) (%)	1.7

Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Revenue, net (¥bn)	2,337.6	9,030.6	10,284.3	9,487.5
Operating profit (¥bn)*	870.4	7,108.6	8,187.2	7,231.6
Net income (¥bn)*	554.5	4,925.7	5,758.3	5,123.7
EPS, basic (¥)*	1,024.1	9,101.1	10,639.6	9,467.0
Prior EPS, basic (¥)*	-	8,782.8	9,850.9	8,817.4
EPS (¥)**	1,033.6	9,204.3	10,641.1	9,468.6
Prior EPS (¥)**	-	8,784.4	9,852.4	8,819.0
P/E, basic*	18.6	5.1	4.4	4.9
P/BV, basic	7.4	4.9	2.5	1.8
ROE (%)*	75.2	352.1	113.1	51.3
EV/EBITDA, basic	8.7	2.8	1.9	1.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

* = GAAP or approximated based on GAAP

** = Based on consensus methodology

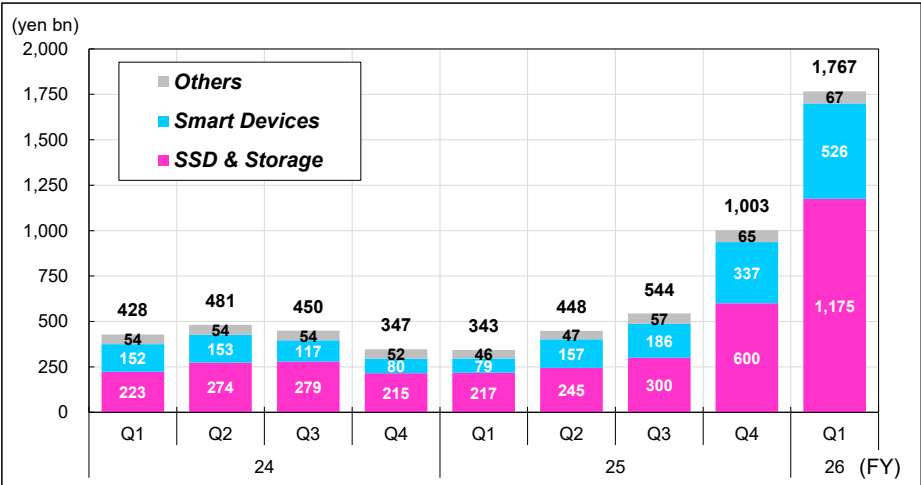
e = Morgan Stanley Research estimates

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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

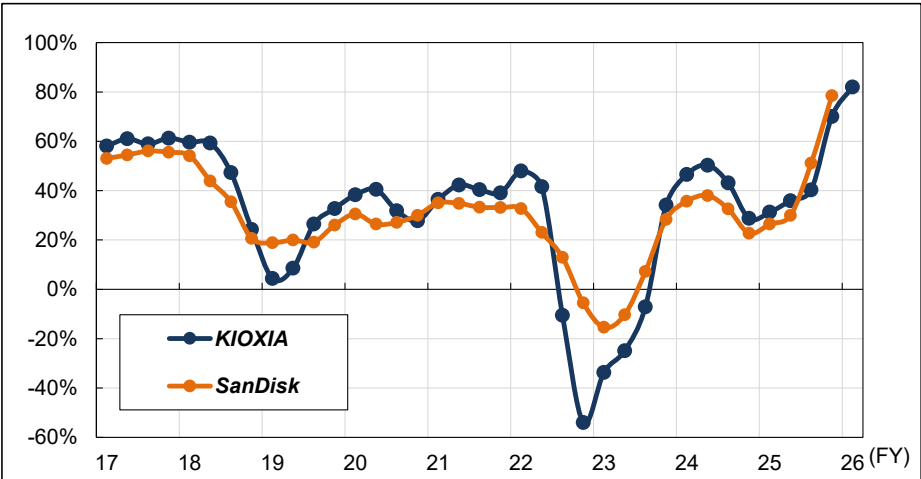
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Exhibit 1: KIOXIA: Quarterly revenues by application



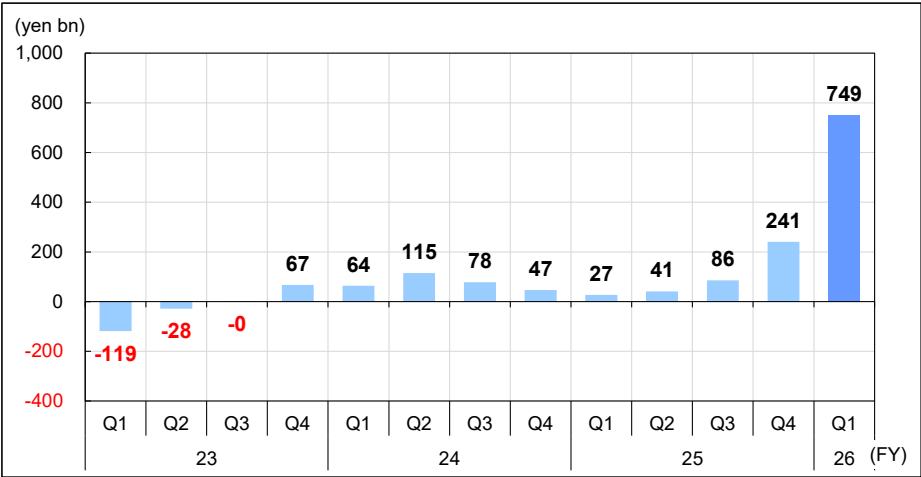
Source: Company data, Morgan Stanley Research

Exhibit 2: KIOXIA: Non-GAAP gross margin (adjusted for JV transaction and R&D in CoGS)



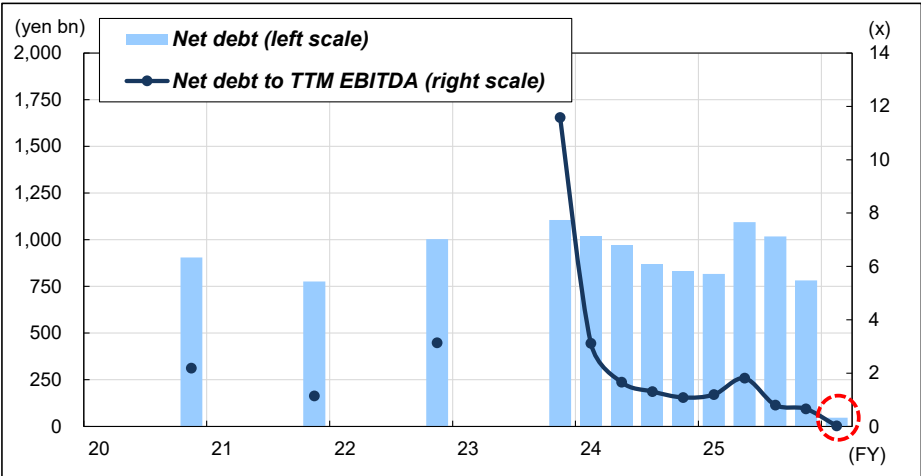
Source: Company data, Morgan Stanley Research

Exhibit 3: KIOXIA: Quarterly FCF



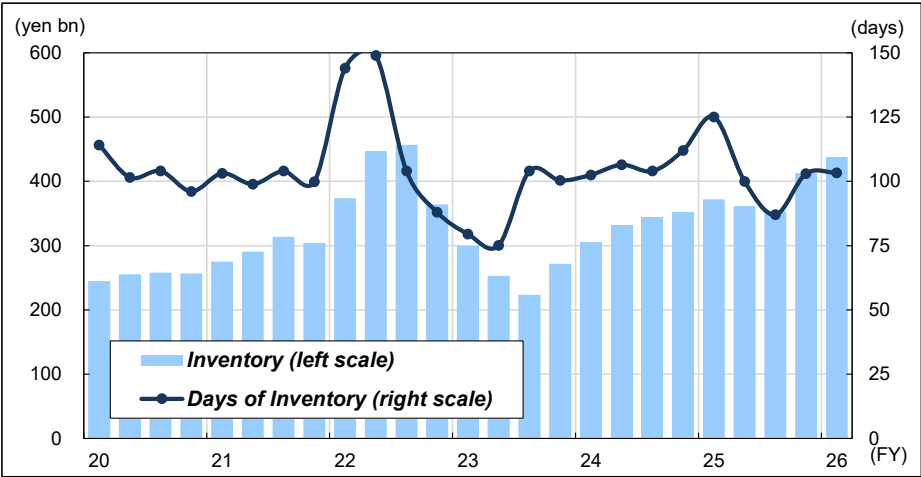
Source: Company data, Morgan Stanley Research

Exhibit 4: KIOXIA: Net debt (including lease obligation)



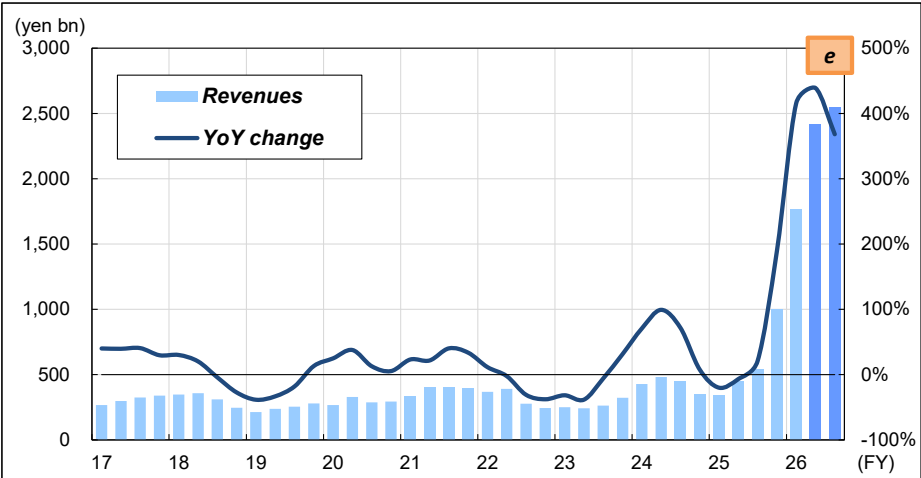
Source: Company data, Morgan Stanley Research

Exhibit 5: KIOXIA: Inventory



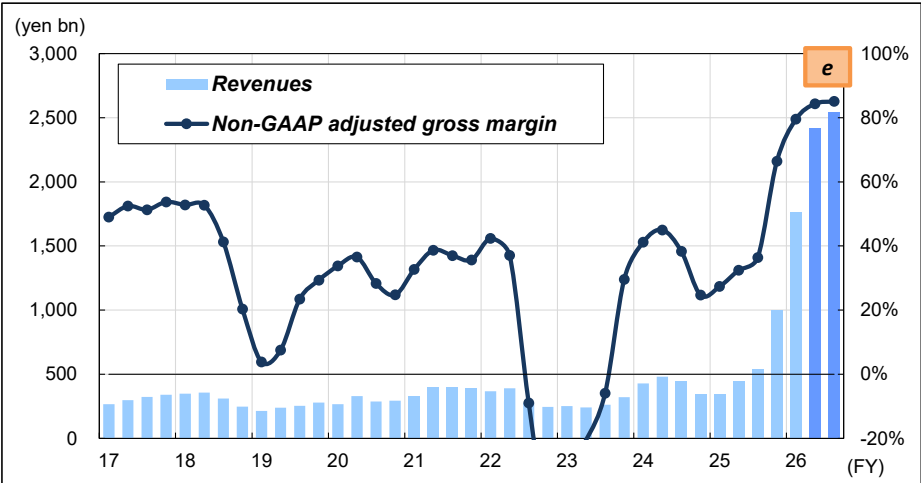
Source: Company data, Morgan Stanley Research

Exhibit 6: KIOXIA: Quarterly revenues



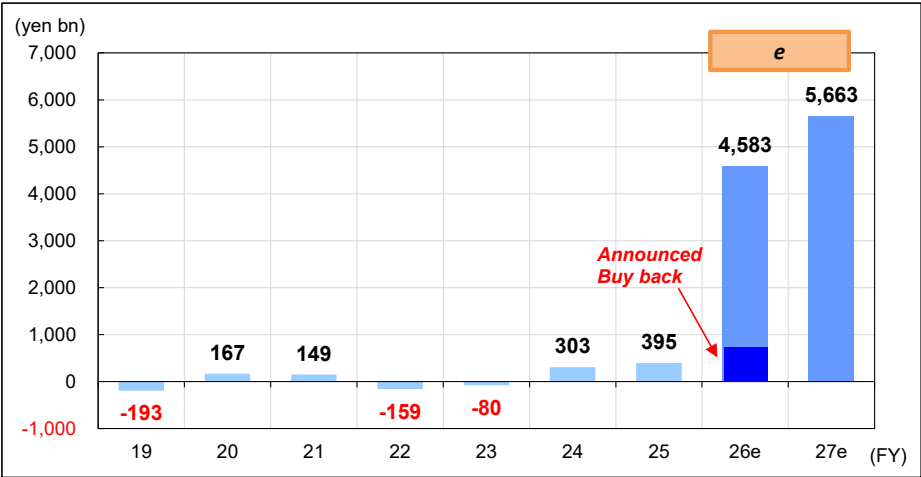
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 7: KIOXIA: Quarterly revenues and non-GAAP adjusted gross margin



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 8: KIOXIA: Annual FCF



Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 9: KIOXIA: Earnings forecast

(yen billions) FY	FY24	FY25	FY26		FY27	
			e (old)	e (new)	e (old)	e (new)
US\$/Yen Rate (yen)	153.0	150.0	155.9	158.2	155.0	155.0
GB shipment (mn units)	146,077	171,928	203,690	197,259	253,602	249,109
YoY % change	20%	18%	18%	15%	25%	26%
GB ASP (US\$)	\$0.067	\$0.083	\$0.262	\$0.282	\$0.235	\$0.260
YoY % change	31%	23%	215%	239%	-10%	-8%
GB ASP (yen)	¥10.32	¥12.47	¥40.76	¥44.57	¥36.44	¥40.29
YoY % change	39%	21%	227%	257%	-11%	-10%
Non-GAAP earnings						
Revenues	1,706.5	2,337.6	8,541.7	9,030.6	9,487.9	10,284.3
YoY % change	59%	37%	265%	286%	11%	14%
Adjusted Gross Profit	651.1	1,099.7	7,142.0	7,533.4	7,936.0	8,575.9
Adjusted Gross Margin	38.2%	51.4%	85.8%	85.4%	85.7%	85.2%
R&D (both in CoGS & SG&A)	132.9	141.2	200.5	195.9	221.0	221.5
% of Revenues	7.8%	6.0%	2.3%	2.2%	2.3%	2.2%
Other SG&A	75.4	90.1	138.0	155.2	144.0	166.0
% of Revenues	4.4%	3.9%	1.6%	1.7%	1.5%	1.6%
Operating profit	453.0	876.2	6,803.5	7,180.6	7,571.0	8,188.4
Adjusted OPM	27%	37%	80%	80%	80%	80%
Net Profit	266.0	559.6	4,797.0	4,981.5	5,380.3	5,759.2
Non-GAAP EPS (yen)	508.0	1,033.6	8,784.4	9,204.3	9,852.4	10,641.1
EPS (yen)	520.0	1,024.1	8,782.8	9,101.1	9,850.9	10,639.6
Gross capex	225.6	283.7	450.0	450.0	480.0	480.0
Net capex	173.0	221.0	425.0	423.0	475.0	475.0
Non-GAAP Depreciation	311.0	311.8	342.5	318.5	380.0	380.0
Non-GAAP EBITDA	764.1	1,188.0	7,146.0	7,499.0	7,951.0	8,568.4
FCF	303.4	395.0	4,448.0	4,582.7	5,261.1	5,663.1
Net Debt	831.6	782.5	-2,654.2	-2,586.4	-6,823.1	-7,383.5
Shareholders' Equity	737.6	1,398.9	5,212.2	5,091.6	9,499.4	9,984.0
Net Debt to Equity	1.13	0.56	-0.51	-0.51	-0.72	-0.74
Net Debt to Non-GAAP EBITDA	1.09	0.66	-0.37	-0.34	-0.86	-0.86

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 10: KIOXIA: Non-GAAP earnings

(yen billion) FY	FY25 Q1	Q2	Q3	Q4	FY25	FY26 Q1	Q2e	Q3e	Q4e	FY26e	FY27 Q1e	Q2e	Q3e	Q4e	FY27e
US\$ / Yen rate (Yen)	145	147	153	155	150	160	159	155	155	158	155	155	155	155	155
KIOXIA															
GB shipment (1GB, mn)	33,777	46,274	48,357	43,521	171,928	44,827	50,206	52,967	49,259	197,259	52,954	65,133	69,692	61,329	249,109
YoY % change	-5%	19%	28%	28%	18%	33%	8%	10%	13%	15%	18%	30%	32%	25%	26%
QoQ % change	0%	37%	5%	-10%		3%	12%	6%	-7%		8%	23%	7%	-12%	
CY basis GB shipment (mn)		CY25 162,320					CY26e 191,520					CY27e 237,039			
YoY % change		13%					18%					24%			
1GB ASP (US\$)	\$0.06	\$0.06	\$0.07	\$0.14	\$0.08	\$0.24	\$0.30	\$0.30	\$0.29	\$0.28	\$0.28	\$0.27	\$0.25	\$0.24	\$0.26
YoY % change	-9%	-19%	-7%	146%	23%	288%	396%	355%	109%	239%	18%	-9%	-16%	-19%	-8%
QoQ % change	7%	-3%	12%	111%		70%	24%	3%	-3%		-4%	-5%	-5%	-6%	
1GB ASP (yen)	8.9	8.8	10.2	21.7	12.5	38.1	47.0	46.9	45.5	44.6	43.7	41.5	39.4	37.1	40.3
YoY % change	-17%	-21%	-4%	147%	21%	329%	436%	361%	109%	257%	15%	-12%	-16%	-19%	-10%
QoQ % change	1%	-1%	16%	114%		75%	23%	0%	-3%		-4%	-5%	-5%	-6%	
CY basis 1GB ASP (yen)		CY25 10.4					CY26e 40.4					CY27e 43.2			
YoY % change		-11%					290%					7%			
1GB production cost (yen)	6.1	5.6	6.1	6.5	6.1	6.9	6.5	6.1	6.3	6.5	6.2	6.0	5.8	5.8	6.0
YoY % change	7%	2%	1%	10%	4%	12%	15%	1%	-3%	7%	-10%	-7%	-6%	-9%	-8%
QoQ % change	3%	-8%	8%	7%		5%	-6%	-5%	3%		-2%	-3%	-4%	1%	
Revenues	342.8	448.3	543.6	1,002.9	2,337.6	1,767.1	2,416.5	2,545.2	2,301.9	9,030.6	2,374.6	2,764.4	2,810.0	2,335.2	10,284.3
YoY % change	-20%	-7%	21%	189%	37%	415%	439%	368%	130%	286%	34%	14%	10%	1%	14%
QoQ % change	-1%	31%	21%	84%		76%	37%	5%	-10%		3%	16%	2%	-17%	
SSD& Storage	217.4	244.6	300.4	600.3	1,362.7	1,174.7				5,854.5					7,209.6
Smart Devices	79.0	157.3	186.3	337.3	760.0	525.7				2,851.3					2,741.4
Others	46.3	46.5	57.0	65.2	215.0	66.7				324.8					333.4
Wafer Revenues from SanDisk	42.5	43.0	51.4	53.1	190.0	53.9	55.0	55.0	55.0	217.9	56.0	56.0	57.0	57.0	226.0
Yokkaichi partnership revenues				3.4	3.4	5.2	5.2	5.2	5.2	20.8	5.2	5.2	5.2	5.2	20.8
Others	3.8	3.5	5.6	8.7	21.6	7.6				86.1					86.6
Non-GAAP CoGS	271.3	326.0	366.8	359.7	1,323.8	386.9	406.0	408.7	408.5	1,610.1	412.0	475.7	487.3	454.9	1,829.9
SanDisk wafer CoGS	42.1	42.6	50.9	52.6	188.1	53.4	53.5	54.5	54.5	215.7	55.4	55.4	56.4	56.4	223.7
R&D (within CoGS)	22.3	23.2	21.2	22.6	89.3	25.3	28.0	29.0	30.5	112.8	29.5	30.0	30.0	32.0	121.5
% of Revenues	6.5%	5.2%	3.9%	2.3%	3.8%	1.4%	1.2%	1.1%	1.3%	1.2%	1.2%	1.1%	1.1%	1.4%	1.2%
Other CoGS	206.9	260.2	294.7	284.5	1,046.4	308.2	324.5	325.2	311.6	1,269.5	327.1	390.2	400.9	354.5	1,472.7
% Revenues (ex. Wafer revenues)	68.9%	64.2%	59.9%	30.1%	48.8%	18.0%	13.8%	13.1%	13.9%	14.4%	14.1%	14.4%	14.6%	15.6%	14.7%
Property tax				12.0	12.0					12.0				12.0	12.0
Non-GAAP adj GP after JV trades	93.8	145.5	198.0	662.4	1,099.7	1,400.3	2,033.3	2,160.3	1,918.7	7,512.6	1,986.9	2,313.6	2,347.5	1,907.1	8,555.1
Non-GAAP adj GP after JV trades	31.2%	35.9%	40.2%	70.0%	51.4%	82.0%	86.3%	86.9%	85.6%	85.4%	85.9%	85.6%	85.4%	83.9%	85.2%
Non-GAAP SG&A	29.9	35.3	32.2	44.6	142.0	52.3	60.0	62.0	64.0	238.3	65.5	66.5	66.5	67.5	266.0
R&D (within SG&A)	12.2	12.6	13.1	14.0	51.9	14.1	21.0	23.0	25.0	83.1	24.0	25.0	25.0	26.0	100.0
% of Revenues	3.6%	2.8%	2.4%	1.4%	2.2%	0.8%	0.9%	0.9%	1.1%	0.9%	1.0%	0.9%	0.9%	1.1%	1.0%
Other SG&A	17.7	22.7	19.1	30.6	90.1	38.2	39.0	39.0	39.0	155.2	41.5	41.5	41.5	41.5	166.0
% of Revenues	5.2%	5.1%	20.0%	3.1%	3.9%	2.2%	1.6%	1.5%	1.7%	1.7%	1.7%	1.5%	1.5%	1.8%	1.6%
Non-GAAP Operating Profit	45.2	87.1	144.6	599.1	876.2	1,326.2	1,950.5	2,074.5	1,829.4	7,180.6	1,897.1	2,222.3	2,256.2	1,812.8	8,188.4
Adjusted Operating Margin	13.2%	19.4%	26.6%	59.7%	37.5%	75.0%	80.7%	81.5%	79.5%	79.5%	79.9%	80.4%	80.3%	77.6%	79.6%
Non-GAAP Net income	18.5	41.7	89.5	409.9	559.6	887.0	1,363.6	1,450.7	1,280.2	4,981.5	1,334.3	1,563.3	1,587.8	1,273.8	5,759.2
R&D (CoGS and SG&A)	34.5	35.8	34.3	36.6	141.2	39.4	49.0	52.0	55.5	195.9	53.5	55.0	55.0	58.0	221.5
% of Revenues	10%	8%	6%	4%	6%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Gross Capex	53.6	91.5	70.9	67.7	283.7	52.4	110.0	95.0	192.6	450.0	125.0	125.0	125.0	105.0	480.0
% of Revenues	16%	20%	13%	7%	12%	3%	5%	4%	8%	5%	5%	5%	4%	4%	5%
Net Capex	34.1	72.8	61.3	52.8	221.0	39.1	99.0	94.0	190.9	423.0	124.0	124.0	124.0	103.0	475.0
% of Revenues	10%	16%	11%	5%	9%	2%	4%	4%	8%	5%	5%	4%	4%	4%	5%
Non-GAAP Dep & Amortization	79.7	78.6	77.3	76.2	311.8	75.9	77.5	80.0	85.1	318.5	90.0	92.0	95.0	103.0	380.0
% of Revenues	23%	18%	14%	8%	13%	4%	3%	3%	4%	4%	4%	3%	3%	4%	4%

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 11: KIOXIA: IFRS consolidated income statement

(yen billion) FY	FY25 Q1	Q2	Q3	Q4	FY25	FY26 Q1	Q2e	Q3e	Q4e	FY26e	FY27 Q1e	Q2e	Q3e	Q4e	FY27e
Revenues	342.8	448.3	543.6	1,002.9	2,337.6	1,767.1	2,416.5	2,545.2	2,301.9	9,030.6	2,374.6	2,764.4	2,810.0	2,335.2	10,284.3
COGS	271.6	326.2	367.0	359.9	1,324.7	387.1	406.2	409.0	408.8	1,611.0	412.3	476.0	487.6	455.2	1,831.1
Gross profit	71.2	122.1	176.6	642.9	1,012.9	1,380.1	2,010.3	2,136.2	1,893.1	7,419.6	1,962.3	2,288.5	2,322.4	1,880.0	8,453.2
Gross Margin	20.8%	27.2%	32.5%	64.1%	43.3%	78.1%	83.2%	83.9%	82.2%	82.2%	82.6%	82.8%	82.6%	80.5%	82.2%
SG&A	29.8	36.2	33.8	46.7	146.6	71.7	65.0	67.0	69.0	272.7	65.5	66.5	66.5	67.5	266.0
% of Sales	9%	8%	6%	5%	6%	4%	3%	3%	3%	3%	3%	2%	2%	3%	3%
Other Income & Expenses (net)	3.6	0.0	-0.0	0.5	4.0	-38.3	0.0	0.0	0.0	-38.3	0.0	0.0	0.0	0.0	0.0
Operating Profit	44.9	85.9	142.8	596.8	870.4	1,270.0	1,945.3	2,069.2	1,824.1	7,108.6	1,896.8	2,222.0	2,255.9	1,812.5	8,187.2
Finance Income	2.4	2.7	-1.5	5.9	9.5	17.2	6.5	7.0	8.3	39.0	15.0	17.0	18.0	20.0	70.0
Finance Costs	19.9	32.2	19.6	25.0	96.7	52.8	9.0	9.0	8.8	79.6	6.0	6.0	6.0	13.0	31.0
Equity Earnings in Investees	-0.1	0.3	0.1	0.0	0.9	0.3	0.0	0.0	0.0	0.3	0.0	0.0	0.0	0.0	0.0
Pretax Income	27.3	56.7	121.7	578.3	784.1	1,234.7	1,942.8	2,067.2	1,823.6	7,068.3	1,905.8	2,233.0	2,267.9	1,819.5	8,226.2
Income tax expenses	9.0	16.0	33.9	170.6	229.6	392.5	582.8	620.2	547.1	2,142.6	571.7	669.9	680.4	545.8	2,467.8
Effective Tax Rate	33.1%	28.3%	27.9%	29.5%	29.3%	31.8%	30.0%	30.0%	30.0%	30.3%	30.0%	30.0%	30.0%	30.0%	30.0%
Statutory Tax Rate					31.1%					31.1%					31.1%
Non-controlling Interest	-0.1	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net income to Owners of Parent	18.4	40.7	87.7	407.7	554.5	842.2	1,360.0	1,447.0	1,276.5	4,925.7	1,334.1	1,563.1	1,587.6	1,273.6	5,758.3
Average Shares (mn)	542.3	539.6	541.0	545.3	541.5	546.1	544.7	538.8	536.3	541.2	536.3	536.3	536.3	536.3	541.2
Per Share Data (yen)															
GAAP Basic EPS	33.9	75.4	162.1	747.8	1,024.1	1,542.2	2,496.8	2,685.4	2,380.0	9,101.1	2,487.3	2,914.3	2,960.0	2,374.6	10,639.6
GAAP Diluted EPS	33.9	74.6	159.6	736.2	1,009.2	1,539.9	2,493.1	2,681.4	2,376.5	8,964.4	2,483.6	2,909.9	2,955.5	2,371.1	10,479.8
Non-GAAP Diluted EPS	34.1	77.3	165.4	751.8	1,033.6	1,525.1	2,503.5	2,692.3	2,387.0	9,204.3	2,487.7	2,914.7	2,960.3	2,375.0	10,641.1
BPS	1,410.2	1,519.7		2,561.7	2,561.7	4,387.3			9,493.1	9,493.1				18,614.8	18,614.8
Net cash per Share				-1,432.9	-1,432.9				4,822.2	4,822.2				13,766.3	13,766.3
DPS	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	800.0	800.0	0.0	0.0	0.0	1,600.0	1,600.0

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 12: KIOXIA: Consolidated statement of financial position

(yen billion) FY	FY25 Q1	Q2	Q3	Q4	FY25	FY26 Q1	Q2e	Q3e	Q4e	FY26e	FY27 Q1e	Q2e	Q3e	Q4e	FY27e
Current Assets	808.4	890.3	1,059.6	1,617.8	1,617.8	2,472.0			5,038.6	5,038.6				10,064.0	10,064.0
Cash & Cash Equivalents	178.4	235.5	281.5	470.7	470.7	791.0			3,096.4	3,096.4				7,871.9	7,871.9
Trade & Other Receivables	211.5	236.4	347.8	660.6	660.6	1,151.6			1,360.8	1,360.8				1,549.7	1,549.7
Collection Period (days)	48	54	42	103	103	112			55	55				55.0	55
Other Financial Assets	1.8	3.9	8.0	7.2	7.2	4.8			7.2	7.2				7.2	7.2
Inventories	371.9	361.6	353.5	412.6	412.6	438.1			492.4	492.4				548.4	548.4
Days of Inventory	125	100	87	103	103	103			110	110				110	120
Other Current Assets	44.8	52.8	68.9	66.8	66.8	86.5			81.8	81.8				86.8	86.8
Non-current Assets	2,085.6	2,091.9	2,135.2	2,072.2	2,072.2	2,258.5			2,228.3	2,228.3				2,422.1	2,422.1
PP&E	1,071.0	1,068.7	1,056.8	1,055.3	1,055.3	1,055.8			1,111.3	1,111.3				1,205.1	1,205.1
Buildings (Net)				412.5	412.5				424.0	424.0				454.0	454.0
Machinery & Equipment (Net)				542.6	542.6				587.2	587.2				651.0	651.0
Construction in Progress				68.4	68.4				68.4	68.4				68.4	68.4
Land				31.6	31.6				31.6	31.6				31.6	31.6
Right-of-use Assets	200.6	192.4	186.4	178.1	178.1	175.5			178.1	178.1				178.1	178.1
Goodwill	395.6	395.5	395.6	395.6	395.6	395.7			395.6	395.6				395.6	395.6
Intangible Assets	11.0	11.2	11.1	11.2	11.2	11.7			11.2	11.2				11.2	11.2
Equity-method Investments	7.3	7.3	7.4	8.1	8.1	8.4			8.1	8.1				8.1	8.1
Other Financial Assets	67.2	93.2	198.1	219.2	219.2	522.3			319.2	319.2				419.2	419.2
Other Non-current Assets	18.7	27.0	29.3	27.3	27.3	26.0			27.3	27.3				27.3	27.3
Deferred Tax Assets	314.2	296.6	250.5	177.5	177.5	63.1			177.5	177.5				177.5	177.5
Total Assets	2,894.0	2,982.2	3,194.8	3,690.1	3,690.1	4,730.5			7,266.9	7,266.9				12,486.1	12,486.1
Current Liabilities	956.4	904.4	986.4	1,098.0	1,098.0	1,395.8			1,558	1,557.6				2,174	2,174.4
Trade & Other Payables	527.9	544.6	606.8	594.9	594.9	706.8			651.1	651.1				744	743.6
Days Payable (days)				176	176				160	160				160	160
ST Borrowings	261.8	189.2	185.2	175.5	175.5	91.5			0.0	0.0				300.0	300.0
Lease Liabilities	44.0	44.2	44.6	43.9	43.9	43.5			41.6	41.6				20.0	20.0
Other Financial Liabilities	12.7	7.4	18.3	28.3	28.3	36.7			28.3	28.3				28.3	28.3
Income Tax Payable	6.3	10.9	8.7	104.5	104.5	340.0			535.7	535.7				740.4	740.4
% Tax Expense															
Provisions	4.8	2.2	2.1	3.9	3.9	7.7			3.9	3.9				3.9	3.9
Other Current Liabilities	98.8	105.8	120.7	147.0	147.0	169.5			297.0	297.0				338.2	338.2
Non-current Liabilities	1,177.3	1,258.4	1,229.8	1,193.0	1,193.0	930.2			617.6	617.6				327.6	327.6
LT Borrowings	507.1	920.9	900.9	872.1	872.1	543.0			300.0	300.0				0.0	0.0
Lease Liabilities	182.6	175.2	169.2	161.7	161.7	159.7			140.1	140.1				140.1	140.1
Other Financial Liabilities	321.7	0.0	0.0	0.0	0.0	0.0			0.0	0.0				0.0	0.0
Net Defined Benefit Liabilities	46.3	46.1	46.1	42.9	42.9	42.8			21.2	21.2				21.2	21.2
Provisions	7.8	8.4	9.7	12.8	12.8	58.3			52.8	52.8				52.8	52.8
Other Non-current Liabilities	119.7	107.8	103.4	102.7	102.7	119.6			102.7	102.7				112.7	112.7
Deferred Tax Liabilities	0.0	0.0	0.6	0.7	0.7	6.7			0.7	0.7				0.7	0.7
Equity	760.3	819.3	978.6	1,399.1	1,399.1	2,404.5			5,091.8	5,091.8				9,984.1	9,984.1
Owners of Parent	760.2	819.2	978.5	1,398.9	1,398.9	2,404.3			5,091.6	5,091.6				9,984.0	9,984.0
Capital Stock	25.3	25.6	29.9	31.3	31.3	33.1			31.3	31.3				31.3	31.3
Additional Paid-in Capital	886.8	867.7	872.6	875.8	875.8	883.7			875.8	875.8				875.8	875.8
Other Components of Equity	39.3	56.5	118.8	124.9	124.9	278.4			124.9	124.9				124.9	124.9
Retained Earnings	-171.3	-130.6	-42.8	367.0	367.0	1,209.1			4,859.7	4,859.7				9,752.0	9,752.0
Treasury Stock						-0.0			-800.0	-800.0				-800.0	-800.0
Non-controlling Interests	0.1	0.1	0.0	0.2	0.2	0.2			0.2	0.2				0.2	0.2
Total Liabilities & Equity	2,894.0	2,982.2	3,194.8	3,690.1	3,690.1	4,730.5			7,266.9	7,266.9				12,486.1	12,486.1
Interest-bearing Debt	995.4	1,329.6	1,299.8	1,253.2	1,253.2	837.8			510.0	510.0				488.4	488.4
Net Interest-bearing Debt	817.0	1,094.0	1,018.3	782.5	782.5	46.8			-2,586.4	-2,586.4				-7,383.5	-7,383.5
Net Debt Equity Ratio	1.07	1.34	1.04	0.56	0.56	0.02			-0.51	-0.51				-0.74	-0.74
Net Debt to Non-GAAP EBITDA	1.19	1.81	0.80	0.66	0.66	0.02			-0.34	-0.34				-0.86	-0.86

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 13: KIOXIA: Consolidated statement of cash flow

(yen billion) FY	FY25 Q1	Q2	Q3	Q4	FY25	FY26 Q1	Q2e	Q3e	Q4e	FY26e	FY27 Q1e	Q2e	Q3e	Q4e	FY27e
Net Profit	18.4	40.7	87.7	407.7	554.5	842.2				4,925.7					5,758.3
Depreciation & Amortization	80.0	78.9	77.6	76.4	312.8	76.1				319.5					381.2
Impairment Losses	0.1	0.1	0.1	0.2	0.4	0.0				0.0					0.0
Decrease in Receivables	27.1	-24.9	-111.4	-312.8	-422.0	-491.0				-700.2					-188.9
Decrease in Inventories	-19.0	10.2	8.1	-59.1	-59.7	-25.5				-79.8					-56.0
Change in Current Assets	-1.4	-8.0	-16.1	-1.1	-26.6	-19.8				-15.0					-5.0
Change in Current Liabilities	-30.2	25.7	74.7	112.1	182.2	373.6				637.3					338.5
Change in Fixed Liabilities	8.8	-11.5	-2.6	-0.6	-5.9	68.3				18.4					10.0
Other	-22.5	2.9	28.8	71.7	80.9	42.4				0.0					0.0
Net Cash provided by Operation	61.1	114.0	147.0	294.4	616.5	866.3				5,105.7					6,238.1
Purchase of PP&E	-52.5	-90.6	-70.6	-67.4	-281.1	-51.2				-440.0					-470.0
Proceeds from Sale of PP&E	3.9	0.9	1.0	0.4	6.3	1.2				5.0					5.0
Purchase of Intangible Assets	-1.1	-0.9	-0.4	-0.3	-2.6	-1.2				-10.0					-10.0
Purchase of Subsidiaries & Business	0.0	0.0	0.0	0.0	0.0	0.0				-100.0					-100.0
Proceeds from Sales of Subsidiaries	0.0	0.0	0.0	0.0	0.0	0.0				0.0					0.0
Others	15.5	17.8	8.6	14.0	55.9	-66.1				22.0					0.0
Net Cash used in Investing Activities	-34.1	-72.8	-61.3	-53.3	-221.5	-117.3				-523.0					-575.0
Free Cash Flow	27.0	41.3	85.7	241.1	395.0	749.0				4,582.7					5,663.1
Net Increase in ST borrowings	10.0	0.0	0.0	-10.0	0.0	0.0				0.0					0.0
Cash proceeds from LT borrowings	43.5	790.4	8.9	19.5	862.3	7.5				0.0					0.0
Repayment of LT borrowings	-63.5	-435.3	-51.0	-66.6	-616.4	-433.2				-700.1					0.0
Repayment of Lease Liabilities	-7.5	-7.3	-7.8	-8.0	-30.5	-7.9				-23.9					-21.6
Dividend Paid	0.0	0.0	0.0	0.0	0.0	0.0				-433.0					-865.9
Issuance of Preferred stock	0.0	0.0	0.0	0.0	0.0	0.0				0.0					0.0
Redemption of Preferred stock	0.0	-323.0	0.0	0.0	-323.0	0.0				0.0					0.0
Issuance of New Shares	0.0	0.6	8.3	2.7	11.6	3.3				0.0					0.0
Cash used for share buy-back	0.0	0.0	0.0	0.0	0.0	0.0				-800.0					0.0
Others	0.2	-10.2	-0.0	10.0	0.0	-0.0				0.0					0.0
Net Cash used in Financing Activities	-17.3	15.3	-41.6	-52.4	-96.1	-430.4				-1,957.0					-887.6
Translation Difference in Cash	0.8	0.6	1.9	0.6	3.8	1.7				0.0					0.0
Net increase in cash	10.5	57.1	46.0	189.2	302.8	320.3				2,625.7					4,775.5
Cash at beginning of period	167.9	178.4	235.5	281.5	167.9	470.7				470.7					3,096.4
Cash at end of period	178.4	235.5	281.5	470.7	470.7	791.0				3,096.4					7,871.9

Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

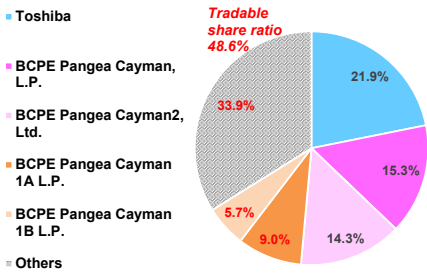
Exhibit 14: KIOXIA: ROE and valuation

FY	FY25 Q1	Q2	Q3	Q4	FY25	FY26 Q1	Q2e	Q3e	Q4e	FY26e	FY27 Q1e	Q2e	Q3e	Q4e	FY27e
Return on Equity					52%					152%					76%
Return on Assets					17%					90%					58%
Net Profit Margin					24%					55%					56%
Asset Turnover					0.7					1.6					1.0
Financial Leverage					3.1					1.7					1.3
EBIT Margin					36%					79%					80%
Interest Burden					2%					1%					0%
Tax Rate					29%					30%					30%
Valuation															
Stock Price (yen)					8,255					110,000					110,000
Market Cap (yen bn)					4,507.9					58,998.3					58,998.3
Net Debt (yen bn)					782.5					-2,586.4					-7,383.5
Enterprise Value (yen bn)					5,290.4					56,411.9					51,614.7
Non-GAAP P/E (fully-diluted)					8.0					12.0					10.3
P/B					3.2					11.6					5.9
EV / Sales					2.3					6.2					5.0
EV / EBITDA					4.5					7.5					6.0
EV / FCF					13.4					12.3					9.1
FCF / Enterprise value					7.5%					8.1%					11.0%
FCF / Equity market cap					8.8%					7.8%					9.6%

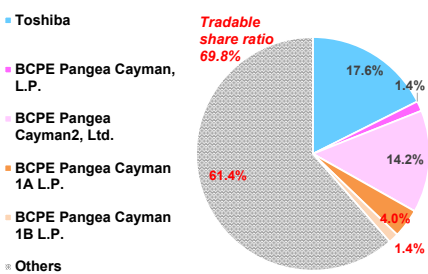
Source: Company data, Morgan Stanley Research. e = Morgan Stanley Research estimates.

Exhibit 15: KIOXIA: Shareholders

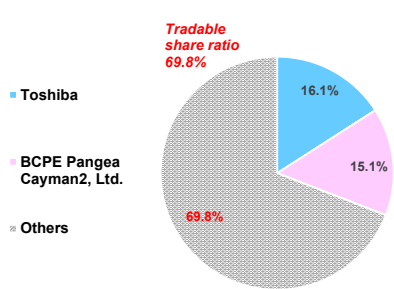
As of Nov 13, 2025



As of Apr 10, 2026



As of July 15, 2026



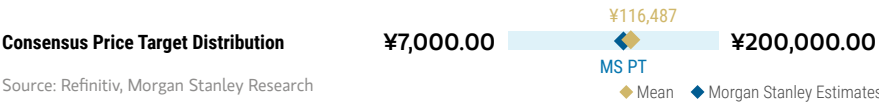
Source: JPX, Morgan Stanley Research

Risk Reward – KIOXIA Holdings (285A.T) Top Pick

Expect AI inference to drive EB demand growth, solid FCF likely in 2026-27

PRICE TARGET ¥110,000

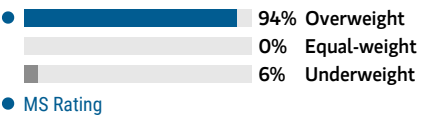
FY3/28e FCF yield of approximately 10%: Considering the company’s strong FCF outlook, its shareholder return policy, and the significant growth potential driven by AI inference, we believe that an FCF yield of around 10% should provide sufficient support for the share price. Implied P/E of our target price based on our FY3/28 EPS forecast is 10x.



OVERWEIGHT THESIS

We expect solid supply–demand conditions for 2026–27, supported by expanding demand for AI inference–related storage and continued discipline on the supply side, and think this will likely enable strong FCF generation.

Consensus Rating Distribution

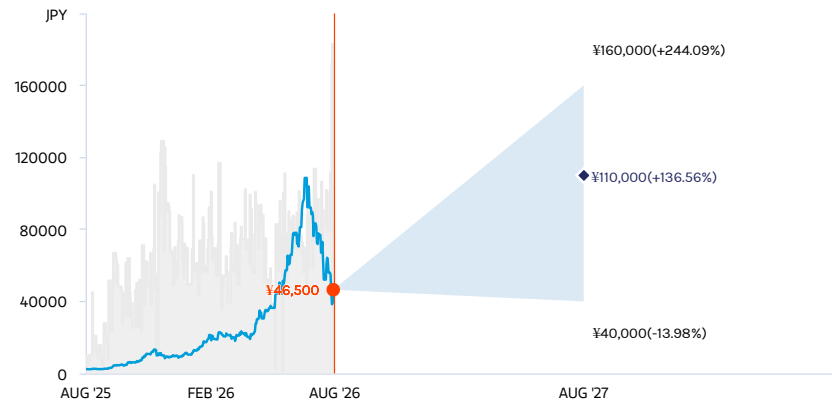


Risk Reward Themes

New Data Era: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

BULL CASE	¥160,000	BASE CASE	¥110,000	BEAR CASE	¥40,000
FY3/28e EPS x 12		FY3/28e FCF yield approx. 10%		FY3/28e EPS x 5	
This assumes supply shortages continue in 2026-27, and KIOXIA's share of the eSSD market grows meaningfully.		This assumes a rising prospect of continued tight supply/demand in 2026-27.		This assumes NAND demand slows rapidly and earnings deteriorate.	
FY3/28e sales ¥12trn, non-GAAP OP ¥9.7trn, EPS ¥13,000		FY3/28e sales ¥10.3trn, non-GAAP OP ¥8.2trn, EPS ¥10,640		FY3/28e sales ¥7.9trn, non-GAAP OP ¥5.8trn, EPS ¥7,840	

Risk Reward – KIOXIA Holdings (285A.T)

KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
1GB fully-loaded cost (incl. SG&A) (yen) (¥, bn)	7	8	8	7
Non-GAAP Adjusted GP (adjusted for R&D) (¥, bn)	1,103	7,533	8,576	7,643

INVESTMENT DRIVERS

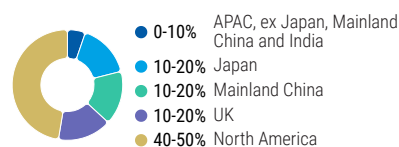
NAND flash GB demand growth

GB ASP

GB cost reduction

Market share

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

Greater-than-expected improvement in NAND flash S/D on AI-driven growth in end demand and supply-side adjustments
SSD market share gains

RISKS TO DOWNSIDE

Longer-than-expected deterioration in NAND S/D on declining end demand, capacity expansion by Chinese companies
Japanese yen appreciation (we estimate one yen appreciation against US\$ lowers OP by about ¥6bn annually)

OWNERSHIP POSITIONING

Inst. Owners, % Active 82.4%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e

Sales / Revenue (¥, bn) 6,254.0 9,030.6 11,191.0
9,506.3

EPS (¥) 8,782.8 9,204.3 11,625.6
9,914.1

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

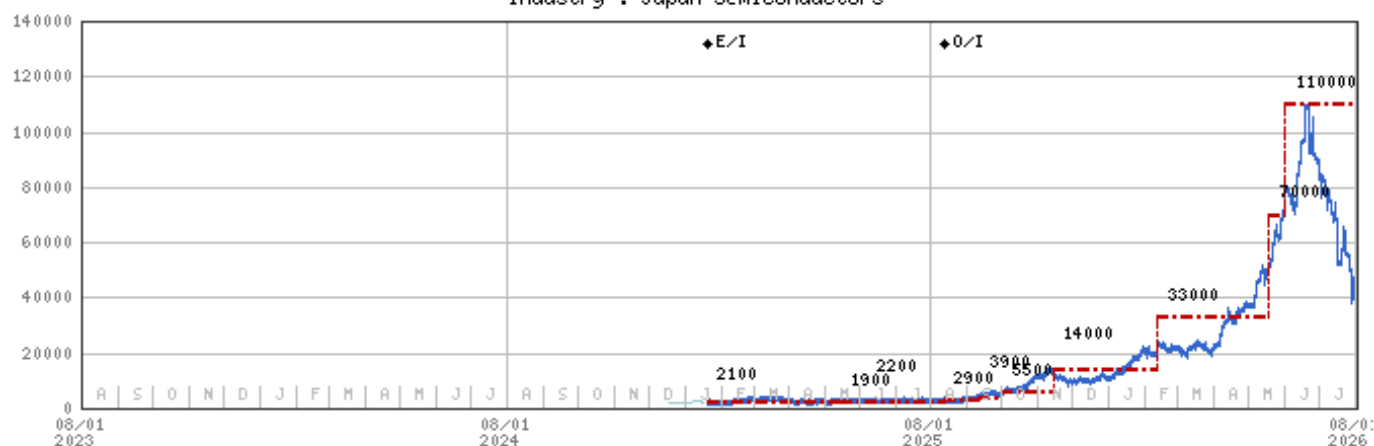
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

KIOXIA Holdings (285A.T) - As of 08/02/26 GMT in JPY
Industry : Japan Semiconductors



Stock Rating History: 1/20/25 : E/I; 8/12/25 : O/I

Price Target History: 1/20/25 : 2100; 5/15/25 : 1900; 6/6/25 : 2200; 8/12/25 : 2900; 9/11/25 : 3900; 10/1/25 : 5500; 11/14/25 : 14000; 2/12/26 : 33000; 5/18/26 : 70000; 6/2/26 : 110000

Source: Morgan Stanley Research Date Format: MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Japan Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Kazuo Yoshikawa, CFA		
HOYA (7741.T)	E (10/30/2023)	¥24,675
KIOXIA Holdings (285A.T)	O (08/12/2025)	¥46,500
Renesas Electronics (6723.T)	O (11/26/2019)	¥3,442
Rohm (6963.T)	++	¥4,331
Socionext (6526.T)	U (01/27/2026)	¥1,913

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* Historical prices are not split adjusted.